

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-10

**REVOCATION OF OCEAN TRANSPORTATION INTERMEDIARY
LICENSE NO. 017843 – WASHINGTON MOVERS, INC.**

**REPLY BRIEF
OF THE
BUREAU OF ENFORCEMENT**

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Pursuant to the Order of Chief Administrative Law Judge Guthridge (ALJ) served April 5, 2017, the Bureau of Enforcement (BOE) files this Reply Brief in response to the Memorandum in Opposition to the Bureau of Enforcement's Opening Brief (Memorandum) submitted on behalf of Washington Movers, Inc. (Washington Movers or Respondent).

I. PRELIMINARY MATTER

Washington Movers submitted two proposed findings of fact (WM PFF). BOE has no objection to WM PFF 1. However, BOE objects to WM PFF 2 which states: "Norma Ghanem nor any employee of Washington Movers International Inc. aided Sam Ghanem in the misconduct that led to his conviction for violating the Shipping Act. (Tr. Of Nov. 9, 2016)." We will assume that the statement is intended to reference Sam Ghanem's convictions for violations of 22 U.S.C. § 2778 and 18 U.S.C. § 554, rather than the Shipping Act. BOE's objection is directed to the assertion that neither Norma nor any employee of Washington Movers aided Sam Ghanem in committing his "misconduct". First, allegations of criminal behavior on the part of Norma Ghanem in connection with Sam Ghanem's criminal convictions are not an issue. Second, this proposed fact is refuted by established facts of record stated in Finding of Fact 13 set forth in the ALJ's Findings of Fact – October 19, 2016, served October 19, 2016. In addition, the participation of Washington Movers' employees was also established at Sam Ghanem's criminal trial. (BOE Ex. 3.) The record also indicates that Sandra Rodriguez, an employee of Washington Movers, booked the container that was the basis of Sam Ghanem's criminal convictions. (See BOE PFF 2 -5.) For these reasons, BOE requests that WM PFF 2 be rejected.

II. INTRODUCTION

There are no relevant facts in dispute and the governing law is settled. Faced with this proposition, Respondent's Memorandum reflects a course that ignores facts, distorts the record, and avoids issues. It advances three arguments, *viz.*, that Sam Ghanem's actions and convictions stand independently of Washington Movers which was not convicted of any crime, (Memorandum, pp. 6 - 8); that Sam Ghanem's felony convictions were his first offense, (Memorandum, pp. 8 - 10); and that Washington Movers' license should not be revoked simply because it failed to timely notify the Commission of its name change. (Memorandum, pp. 10 - 11.)

The Commission's Order To Show Cause defined the issue in this proceeding as whether Respondent's license should be revoked on the basis of the felony convictions of Sam Ghanem, its owner, President, and Qualifying Individual (QI), *together with* Washington Movers' failure to comply with the Commission's regulations. (Order To Show Cause, pp. 4-5 (emphasis added).) Thus, the Commission's Order directed an examination of the totality circumstances as grounds for revocation. In contrast, Respondent's Memorandum attempts isolate each ground in an effort to minimize its impact on the overall picture. In a similar fashion, it attempts to separate Sam Ghanem's conduct from Washington Movers while directing attention away from its own acts and omissions. These efforts reflect an attitude of indifference toward regulatory requirements. Wholly apart from Sam Ghanem's federal crimes, the record is replete with instances of Washington Movers' multiple failures to comply with a variety of requirements imposed by the Commission's regulations. Its consistent noncompliance occurred under the current ownership and management of the company. For Respondent to now suggest that its only misstep was in

failing to notify the Commission of its name change indicates an intentional distortion of the record or a complete lack of understanding of its responsibilities as a licensed ocean transportation intermediary.

Significantly, Respondent does not dispute its failures on multiple occasions to advise the Commission of such events as the removal of Sam Ghanem as an officer and consequent termination of his eligibility to serve as its QI, the change in ownership of the company, the addition and removal of officers and directors of the company, and the failure to replace its QI. Nor does Washington Movers' controvert its continued misrepresentations to the public, financial institutions, ocean carriers, and the federal government, including the Commission, that Sam Ghanem was still in charge of the company. It confirmed these misrepresentations by ratifying the actions of Sam Ghanem and retaining the benefits thereof.

Conceding these facts and unable to divorce itself from Sam Ghanem, Respondent is left to argue that its qualifications are best reflected by the company's actions under its current ownership and management. In light of the current management's documented noncompliance with its regulatory responsibilities and misrepresentations together with the criminal behavior of the company's former owner and management, BOE submits revocation is warranted under the Shipping Act, the Commission's regulations, and settled precedent.

III. ARGUMENT

A. Sam Ghanem's Convictions Is Not Independent Of Washington Movers

BOE previously explained in detail that Sam Ghanem utilized Washington Movers, its license, facilities, and employees to commit the crimes for which he was convicted. (BOE Opening

Brief, pp. 7 -11.) While not challenging those facts, Respondent attempts to soften these truths by describing the criminal conduct as “alleged”, asserting that the resulting convictions arose from a sting operation, that the shipment never occurred, and that the first trial resulted in a hung jury. (Memorandum, pp. 7, 8, 10.) It also attempts to inject extra-record facts in contending that Sam Ghanem has no history of other violations. (Memorandum, p. 10.)

Little need be said in response to what appears to be an effort to collaterally challenge Sam Ghanem’s convictions. Washington Movers does not contest that Sam Ghanem committed his crimes through his ownership and control of Washington Movers’ license, employees, facilities, and its knowledge, experience, and business relationships developed from years of operating as an ocean transportation intermediary (OTI). The felonies for which he was convicted are serious and directly related to the company’s activities as an OTI.

The Commission’s regulations impose responsibility for Sam’s conduct on Washington Movers, as the licensee. 46 C.F.R. §515.4(b). Were the law otherwise, corporate licensees could act with impunity by standing behind the artificial shield between the corporate entity and its principals. Consequently, the Commission appraises the character of a corporate entity by measuring the conduct of its principal. *Falcon Shipping, Inc. and Abdiel Falcon – Application For License*, 32 S.R.R. 382 (FMC 2012). And in carrying out its responsibility to protect the public, the Commission holds corporate licensees accountable for the acts and omissions of their principals. *AAA Nordstar Line, Inc. – Revocation of License No. 12234*, 29 S.R.R. 663 (FMC 2002). In this regard, the Commission is not unique in holding a corporation accountable for the conduct of its principals. *See, e.g., Tempo Trucking & Transfer Corp. v. Dickson*, 405 F. Supp.

506 (E.D. N.Y., 1975) (upholding U.S. Customs Service revocation of customhouse cartman's license issued to corporation based on company President's conviction for theft).

Washington Movers attempts a detour around the issues in this proceeding by inserting Norma Ghanem as a subject of this proceeding. (Memorandum, p. 5, claiming that Washington Movers is Norma Ghanem's business.) This effort likewise fails. As noted, the Commission's Order to Show Cause defined the issues as the felony convictions of Sam Ghanem, acting through the OTI business of Washington Movers, and Respondent's noncompliance with the Commission's regulations. (Order To Show Cause, pp. 4-5.) Norma Ghanem, the individual, is not at issue in this matter. In fact, the Commission denied her request to intervene in this proceeding because she does not have a separate interest independent of Washington Movers.¹ See Order Regarding Preliminary Issues, served February 12, 2016, slip op. at 7 ("... her positions appear to be duplicative of those of Washington Movers.").

Respondent urges that its license is property and therefore cannot be revoked for Sam Ghanem's criminal activity. This contention is meritless and not surprisingly unsupported by any pertinent legal authority. Respondent's reliance on *In re Atlantic Business Community Dev. Corp.*, 994 F.2d 1069 (3rd Cir. 1993) is misplaced. There the Court simply held that a bankrupt debtor's communications license was property for purposes of attaching a federal tax lien. More significant, however, is that the Court contradicted Washington Movers' argument in stating that a license is not an indefeasible property right and is subject to suspension, modification, or revocation. 994 F.2d at 1072. It observed that licenses are granted at the direction of the government, are of limited duration, and can be revoked for cause. 994 F.2d at 1075. The Supreme

¹ Norma Ghanem, as President and owner of the company represents the current management of Washington Movers. We address issues involving the current management subsequently.

Court has also rejected the notion that a license issued by an administrative agency conveys a property right. Discussing licenses issued by the Federal Communications Commission, the Court stated: “The policy of the Act is clear that no person is to have anything in the nature of a property right as a result of the granting of a license.” *F.C.C. v. Sanders Bros. Radio Station*, 309 U.S. 470, 475 (1940). BOE likewise rejects Washington Movers’ claim that it has a property right in the license issued by the Commission and cannot be revoked for the conduct of Sam Ghanem. The Commission’s authority to revoke a license under Section 19(c) of the Shipping Act, 46 U.S.C. 40903, is unquestioned. *See also* Administrative Procedure Act, 5 U.S.C. 558. That it can do so on the basis of Sam Ghanem’s convictions is also well established as set forth above.

Washington Movers next posits that the law forbids taking away a person’s property for another person’s conduct. (Memorandum, p. 6.) For this proposition it points to *Harris News Agency, Inc. v. Bowers*, 809 F.3d 411 (8th Cir. 2015). Respondent’s reliance on this decision to support its contention is erroneous. *Harris News* did not involve the taking of property or revocation of a license.² At issue was the denial of an application for a license on the ground that the applicants violated a law prohibiting aiding and abetting the commission of a federal crime. The Court concluded that the “aiding and abetting” prohibition forbade active participation or some affirmative conduct, rather than simply allowing the crime to occur as the applicants had done. Therefore, denial of the application was erroneous.

Harris News is neither germane nor analogous to this proceeding. Respondent’s attempt to shoehorn that holding as support for its argument here is unexplained. Not only does it not

² In explaining the factual background to the issue before it, the Court noted that the principal of the licensee entered a guilty plea for violating federal law and surrendered the license as part of his plea deal. 809 F.3d at 412-413. The license surrender, the effective equivalent of an uncontested revocation, was not an issue before the Court, although the surrender reflects the same principles involved here.

involve a taking of property, the decision was based on the particular language of the statute in question. Moreover, the denial of the application in question was not based on the conduct of a third party, but rather on whether the conduct of the applicants themselves met the prohibition in the statute.

Washington Movers' reference to *United States v. Lester*, 85 F.3d 1409 (9th Cir. 1996) is equally puzzling. *Lester* involved interpretation of a federal criminal forfeiture statute which was applied to certain real property in which both husband and wife held ownership interests but was unconnected to the husband's criminal activities for which he was convicted. The government sought forfeiture of the real property as substitute property under the forfeiture statute. On appeal, the Court held that according to the plain language of the statute only substitute "property of the defendant" may be forfeited. 85 F.3d at 1412 (quotation in original). While the husband's interest was subject to forfeiture, the wife's interest was not inasmuch as she was not a defendant in the criminal case. The Court's holding was based on particular statutory language not implicated here and therefore not relevant. Further, unlike the license issued to Washington Movers, both the husband and wife actually held ownership interests in the real property in issue.

BOE has established by a preponderance of the evidence that Sam Ghanem's felony convictions were the direct result of his criminal activity conducted through the OTI business of Washington Movers. Respondent has not adduced any evidence to rebut that showing.

B. Respondent Has Demonstrated Its Disregard For Commission's Regulations

Moving beyond Sam Ghanem's felony convictions, BOE explained in its Opening Brief that both before and after Sam Ghanem's relinquishment of control, the company displayed a consistent disregard for the Commission's regulations. In reply, Respondent argues that its OTI

license should not be revoked because Sam Ghanem's convictions was a first time offense, there is no chance of the offense being repeated, and no act or omission by Respondent rises to a level of such egregious conduct as to warrant revocation.

Respondent's "first time offender" argument is without merit or support. Its reliance on *Commonwealth Shipping Ltd., Cargo Carriers Ltd., Martyn C. Merritt and Mary Anne Merritt—Submission of Materially False or Misleading Statements to the Federal Maritime Commission And False Representation of Common Carrier Vessel Operations*, 29 S.R.R. 1408 (FMC 2003) is misplaced. Seeking to distinguish itself from the respondents in *Commonwealth Shipping* who had a lengthy history of violations prior to license revocation, Respondent erroneously suggests that the Commission's standard for revocation incorporates a threshold quantity of violations and a recidivist respondent. Contrary to Respondent's contention, the standard for license revocation is not numerically based, but rather is as set forth in Section 19 of the Shipping Act and the Commission's implementing regulations at 46 C.F.R. § 515.16.

In *In the Matter of Ocean Transportation License in the Name of Apparel Logistics, Inc., Petition for Appeal from Staff Action or in the Alternative for Initiation of an Investigation*, 30 S.R.R. 567, 570 (FMC 2004) (*Apparel Logistics*), the Commission stated that revocation "should be limited to the most egregious circumstances". It explained the term "most egregious circumstances" not with numbers, but, consistent with the regulatory language, by describing the types of violations within this category: "such as OTIs violating the Shipping Act or Commission regulations, committing other federal offenses, or materially misrepresenting information regarding their qualifications." *Id. citing Stallion Cargo, Inc. - Possible Violations of Sections*

10(a)(1) and 10 (b)(1) of the Shipping Act of 1984, 29 S.R.R. 665, 683-84 (FMC 2001); *AAA Nordstar Line Inc.*, 29 S.R.R. at 663-64; *Commonwealth Shipping*, 29 S.R.R. at 1412-1414.

Respondent's proposed first-time offender standard is unprecedented and at odds with the Commission's decision in *Revocation of OTI License No. 016019N – Central Agency of Florida, Inc.*, 31 S.R.R. 486 (FMC 2008). The respondent in that proceeding had no history before the Commission and its failure to maintain a QI was the sole violation involved. Following the standard articulated in *Apparel Logistics*, the Commission stated that maintaining a QI is a requisite condition of retaining an OTI license and failure to do so in violation of Commission regulations provided sufficient basis for revocation of Central Agency's license.

Washington Movers also wrongly argues, apparently on the basis of *Commonwealth Shipping*, that the Commission reserves revocation only for circumstances in which the licensee demonstrates *no intent* of future compliance. (Memorandum, p. 10.) Attempting to distance itself from this category of licensees, Respondent has repeatedly asserted that it is committed to respecting and complying with Commission regulations. While the record in this proceeding refutes these assertions, we point to similar self-serving statements made by the respondent in *Falcon Shipping, Inc.*, 32 S.R.R. 382, who also proclaimed his intent to operate legally, honestly and reputably. The Commission denied the application for an OTI license, finding that these statements were self-serving and provided "little support in light of the further lack of credibility" from his Shipping Act violation and guilty plea for a felony smuggling violation. *Id.* at 384.

As *Falcon* demonstrates, the Commission does not require the absence of intent to comply in the future as a requisite to revocation. Indeed, it would be most unusual for a licensee or an applicant to represent that it has no intent to comply with the Commission's regulations. Rather, the appropriate consideration is the likelihood of compliance as measured by past conduct. As

articulated in *AAA Nordstar Line, Inc. – Revocation of License No. 12234*, 29 S.R.R. 429 (FMC 2001), revocation is appropriate when the Commission can no longer rely upon the honesty and integrity of the licensee or its principals to the extent necessary to ensure future conduct within the confines of the statute and regulations. Respondent’s repeated disregard for Commission requirements casts serious doubt on the likelihood of its future compliance.

Evidence of fraud or deception calls into question the honesty and integrity of a licensee. The Commission has stated: “An act of forgery in a freight forwarding transaction is an act of moral turpitude and an egregious violation of the Commission’s regulations which directly reflects upon a licensee’s fitness to conduct such business.” *Indep. Ocean Freight Forwarder License E.L. Mobley, Inc.*, 21 F.M.C. 845, 847 (FMC 1979). Similarly, “if a freight forwarder were found to have acted illegally in concert with his clients it may not be ‘fit’ to assume the responsibilities of a freight forwarder.” *Bolton and Mitchell, Inc.- Indep. Ocean Freight Forwarder License No. 516*, 17 F.M.C. 328, 331 (FMC 1974).

The record in this case evidences a variety of deceptive acts and omissions that reflect adversely on Washington Movers’ honesty, integrity, and likelihood of its compliance with Commission regulations. The violations of Commission regulations committed by Respondent under past and current ownership and its acts of deceiving the public, its transportation partners, the financial institutions which relied on its representations, the Internal Revenue Service, and the Commission are discussed at length in BOE’s Opening Brief, pp. 17-26. Clearly, the totality of these circumstances readily meets the standard for revocation employed by the Commission.

We turn briefly to Washington Movers’ failure to advise the Commission of its 2008 corporate name change which it describes as “untimely”. It is precisely this characterization of its

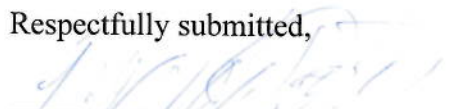
non-compliance that demonstrates Respondent's cavalier attitude toward the Commission's regulatory requirements. The filing of its name change seven years after it occurred, and then only after the institution of this proceeding, cannot be dismissed as an untimely notification in considering the bona fides of Respondent's representations that it intends to comply in the future. Significantly, Washington Movers omits that it voluntarily withdrew the application and a new one has not been submitted.

The Commission's regulations (former 46 C.F.R. §§515.12(d), 515.18(a)(5) and current 46 C.F.R. §515.20(a)(4) and (e)), require licensees to notify the Commission of material changes in fact. Changes to the name of the licensee require prior approval. Restrictions placed on name use and changes are protections for the shipping public and the failure to comply with these requirements subverts the mission of the FMC. Respondent's failure in this respect materially and adversely reflects on its character and continued qualification to provide OTI services.

IV. CONCLUSION

For all the forgoing reasons and those contained in BOE's Opening Brief, BOE respectfully requests that OTI license number 017843 issued to Washington Movers, Inc. be revoked.

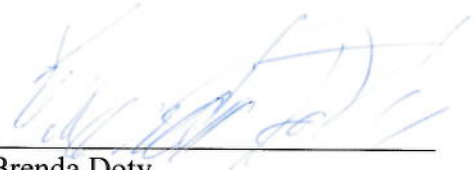
Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that on this **20th** day of **June, 2017**, a copy of the foregoing **Reply Brief Of The Bureau Of Enforcement** has been served upon counsel for Respondent via email and by first class mail with postage prepaid.



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